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US equities tumble as yields rise and volatility spikes

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read · Topics: Macro · Geopolitics · Earnings

TL;DR

The S&P 500 slipped -1.09% to 7,659.44, while the Nasdaq 100 fell -2.50% to 29,187.55. The VIX surged +21.45% to 19.99, reflecting heightened risk appetite after the 10-year Treasury yield jumped to 5.10%.

Energy led the rally with XLE up +2.52% as WTI crude breached 101.41. Financials were the only sector in the green, with XLF gaining +0.45% on a stronger JPM.

US session recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,659.44	-1.09%	
Dow Jones	52,002.41	-0.34%	
Nasdaq 100	29,187.55	-2.50%	
Russell 2000	2,721.37	-1.66%	
VIX	19.99	+21.45%	Volatility spike
10-yr Yield	5.10%	+0.18%	Highest since 2023
WTI Crude	101.41	+3.51%	Supply concerns

Top large-cap movers

TICKER	CLOSE	CHANGE
JPM	339.72	+1.25%
AVGO	328.75	-4.52%
META	709.33	-3.72%
XLE	68.24	+2.52%

Spotlight

Energy earnings season kicked off with XOM reporting Q3 profit of $5.6 billion, beating estimates by 12% on higher oil prices.

METRIC	VALUE
Revenue	`$84.2 billion`
EPS	`$5.60`
YoY Growth	+12%

Macro & Fed

- Policy rate: `5.25%-5.50%` (unchanged)
- 10-yr Treasury yield at `5.10%`, up +0.18%
- Data releases (HKT): CPI 02:30, Core CPI 03:30, Initial Jobless Claims 04:00

Geopolitics & global

- Middle-East tensions keep oil supply risk premium elevated.
- China’s manufacturing PMI posted 48.9, indicating continued contraction.
- Eurozone inflation eases to 2.6% YoY, supporting ECB dovish stance.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:30	**MSFT**	Cloud revenue trend, guidance for FY27
10:00	**NVDA**	AI chip demand, margin outlook
10:30	**AMZN**	Advertising growth, AWS guidance
11:00	**GS**	Net interest income, credit loss provisions

Stocks worth watching

- **TSLA** – price pressure after missed delivery targets.
- **META** – heavy ad spend cuts could dent revenue.
- **XLF** – banking earnings beat may lift the sector.
- **XLE** – sustained oil rally supports energy names.
- **AVGO** – steep drop may be over-reaction to inventory build.

What could break the tape

BEARISH TRIGGERS

- Further 10-yr yield rise above `5.20%` could pressure equities.
- Escalation in Middle-East conflict pushing oil above `110`.
- Disappointing earnings from **MSFT** or **NVDA**.

BULLISH TRIGGERS

- Strong Q3 earnings from **JPM** or **XLE** peers.
- Fed signals pause on rate hikes.
- Tech bounce on renewed AI spending.

Sources

SOURCES

Reuters — US Markets

Bloomberg — Market Data

CNBC — Economic Calendar

SEC — Company Filings

Financial Times — Analysis